consider the seemingly odd situation of a futures manager who ended a year like 1985 flat, making or losing nothing on the trading, but gaining 7% on holding US government debt for the lion's share of the account. He would then be paid a performance fee on this 7%, despite a failed trading year. Don't expect this easy money environment to come back any time soon. Odds are that interests will stay low for some time and competition in our field will only increase.

## Loading Fees

Getting the boost of interest on excess capital did wonders for our strategy and really helped to pump up the results. Now we're even further ahead of the benchmarks. But there are negative factors to consider as well. Most people who run diversified futures strategies do it on a professional basis. They primarily manage other people's money, just like the CTA hedge funds which we have been using as a comparison. As such, you charge fees. And those fees can be quite high over time. This can make quite a difference to the long-term net results.

The fee levels charged by futures managers vary somewhat, but the general structure tends to be the same. Managers charge two types of fees. First, a management fee, which is a flat percentage of assets under management. This is a base fee, charged no matter what the performance is and it is usually paid on a monthly or quarterly basis. The somewhat irreverent industry expression is that this is what you get paid for turning on the lights in the morning.

The second fee is called a performance fee, and this is where the real juice is. A futures manager gets paid a portion of the returns which they generate on behalf of their clients and this can be quite substantial. The performance fee is usually paid on a yearly basis and is based on a high-water mark principle. That means that we need to make a new high in the returns before we get paid.

For the remainder of the book, I will assume a management fee of 1.5%, paid on a quarterly basis, and a performance fee of 15%. Loading these fees will have a larger impact than what we saw from the interest rate effect, but in the opposite direction.

As we see in Figure 4.12, the effect over time is quite substantial. While that is bad news for the investors, it's good news for you, dear futures manager. The difference between these lines is your pay and the reason why you would want to read a book like this in the first place.